

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 2800

By: Marti

AS INTRODUCED

An Act relating to property; requiring the retention of certain documents; requiring accessibility to certain documents; providing time frame to provide documents to certain parties; requiring notification to homeowners of adoption of an update of a covenant, condition, or restriction by an owners association; providing for disclosing of certain fees; limiting fee amounts; prohibiting fee for certain document; providing that a title insurance company shall include a letter from the owners association to the property owner, at cost to the title insurance company, which declares the property in good standing; providing for fees of good standing documents; providing certain disclosure document to be provided by certain parties upon a title commitment; providing fee for providing certain disclosure documents; providing that a buyer has a certain time to withdraw from a contract for sale; prohibiting the restrictive covenants which limit the fair economic use of a property; requiring an owners association to issue to a title company a letter stating that a homeowner is in good standing; requiring the disclosure by certain parties of the fee structure surrounding operation of an owners association and any potential charges to homeowner; requiring the disclosure by certain parties of the fines for violations of the homeowners association's covenants, conditions, and restrictions; limiting how many times a fine structure may be updated; requiring certain notification of certain meeting; amending 60 O.S. 2021, Section 857, which relates to copies of recorded covenants and restrictions; modifying terminology; providing for codification; and providing an effective date.

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2 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

3 SECTION 1. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 857.1 of Title 60, unless there
5 is created a duplication in numbering, reads as follows:

6 A copy or a certified copy of all the recorded covenants,
7 conditions, and restrictions of a real estate development shall be
8 retained by the managing entity of a real estate development and
9 shall be accessible within a reasonable amount of time, not to exceed
10 seventy-two (72) hours beyond receipt of request, to all parties to a
11 home transaction or a property owner whose property falls within
12 such development.

13 SECTION 2. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 857.2 of Title 60, unless there
15 is created a duplication in numbering, reads as follows:

16 Notification to all homeowners within an owners association's
17 jurisdiction shall be required of an owners association within five
18 (5) business days upon adoption of an update of covenants,
19 conditions, and restrictions.

20 SECTION 3. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 857.3 of Title 60, unless there
22 is created a duplication in numbering, reads as follows:

23 All entities tasked with managing an owners association shall
24 disclose individual fees assessed by an owners association or a

1 third-party management company and the limit on each individual fee
2 shall be no more than One Hundred Seventy-five Dollars (\$175.00).

3 Upon request of documents reporting the condition of a property
4 for sale, a homeowner shall not be charged a fee for a report on said
5 property.

6 SECTION 4. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 857.4 of Title 60, unless there
8 is created a duplication in numbering, reads as follows:

9 Prior to a homebuyer closing on a home and within fourteen (14)
10 days of request, a title insurance company shall include a letter
11 from the owners association to the property owner, at cost to the
12 title insurance company, which shall declare the property in good
13 standing. Subsequent letters requested of and provided by the title
14 company may be accompanied by charges to the homeowner at a rate not
15 to exceed Fifty Dollars (\$50.00) for each completed request.

16 SECTION 5. NEW LAW A new section of law to be codified
17 in the Oklahoma Statutes as Section 857.5 of Title 60, unless there
18 is created a duplication in numbering, reads as follows:

19 Upon the implementation of a title commitment, a title insurance
20 company shall include a packet of information which has the most
21 recent updated version of the covenants, conditions, and restrictions
22 of the development in which the property is located and shall
23 include the development's restrictions to which the property is
24 subject. It shall be the responsibility of the title company to

1 verify and disclose the information to the property owner as a
2 condition of verifying that the title to the property is free and
3 clear. A title insurance company may charge a fee for production of
4 the covenants, conditions, and restrictions, not to exceed One
5 Hundred Fifty Dollars (\$150.00).

6 SECTION 6. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 857.6 of Title 60, unless there
8 is created a duplication in numbering, reads as follows:

9 A buyer shall have an unrestricted right to withdraw from a
10 contract for sale within five (5) days of the receipt of the
11 covenants, conditions, and restrictions or the financials of the
12 owners association to the purchaser or purchaser's agent.

13 SECTION 7. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 857.7 of Title 60, unless there
15 is created a duplication in numbering, reads as follows:

16 An owners association shall not pass restrictive covenants which
17 limit the fair economic use of a property, including the right to
18 rent a property either long-term or short-term or as the office of
19 an in-home business.

20 SECTION 8. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 857.8 of Title 60, unless there
22 is created a duplication in numbering, reads as follows:
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1 An owners association shall issue a letter to the title company
2 ensuring that a homeowner is in good standing with regard to dues
3 and any outstanding assessments or fines, to be updated quarterly.

4 SECTION 9. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 857.9 of Title 60, unless there
6 is created a duplication in numbering, reads as follows:

7 Owner associations or managing entities of owners associations
8 shall delineate in documents for the association the fee structure
9 surrounding operation of the owners association and any potential
10 charges to homeowners arising therefrom.

11 SECTION 10. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section 857.10 of Title 60, unless there
13 is created a duplication in numbering, reads as follows:

14 Homeowners associations or managing entities of homeowners
15 associations shall delineate in documents for the association the
16 schedule of fines for violations of the homeowners association's
17 covenants, conditions, and restrictions. Updates to fine structures
18 shall not occur more than once per calendar year at a meeting on a
19 predetermined date. Homeowners shall be notified of such meetings
20 under requirements set forth under Title 18 of the Oklahoma
21 Statutes.

22 SECTION 11. AMENDATORY 60 O.S. 2021, Section 857, is
23 amended to read as follows:

1 Section 857. ~~A copy~~ Copies or a certified ~~copy~~ copies of all
2 the recorded covenants and restrictions of a real estate development
3 along with any addendums to these documents shall be provided by the
4 title company closing the sale to the buyer of property in the real
5 estate development as a part of the closing of the real estate sale.
6 The buyer may be charged no more than Twenty-five Dollars (\$25.00)
7 for the ~~copy~~ copies, and the ~~copy~~ copies shall either be provided
8 prior to or at the time of closing either by mail to the buyer's
9 last-known address, hand-delivered or electronically delivered.

10 SECTION 12. This act shall become effective November 1, 2025.

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12 60-1-12189 JL 01/15/25
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